

more information about this fascinating field is available on the Internet and in your local library:

- People tend to be more optimistic about stocks after the market goes up and more pessimistic after it goes down.
- Investors give too much weight to recent information, such as one quarter's earnings, and too little weight to long-term fundamentals.
- People tend to buy investments that have recently had a large run-up in performance. Over 80 percent of new mutual fund purchases go into the funds that have the best one-year return.
- Investors label investments as "good" or "bad" based on where the current price is relative to the price they paid rather than on the underlying fundamentals of the investment.
- People are reluctant to admit an error in judgment. Consequently, many people pay high commissions and fees to brokers and advisors so that they have someone to blame.
- The confidence investors have in the future earnings of high-priced companies is often too high, and the confidence they have in the earnings growth of low-priced companies is often too low.
- Overconfident investors generally believe that they have more knowledge and information than they actually have. As a result, they tend to trade too much and underperform the market.
- The profile of an overconfident investor is male, professional, with at least one advanced academic degree.
- Women tend to have a longer-term view of the markets than men do. They maintain an investment plan longer, and as a result they generally perform better.

Asset allocation strategies are based on rational decisions and the discipline to maintain those decisions. Unfortunately, individual investors can become quite irrational when it comes to investment decisions, especially during large swings in the markets. Successful investors understand the limitations of the markets as well as their own limitations, and they develop a proper asset allocation that accommodates both.

MORE INTERESTING INFORMATION